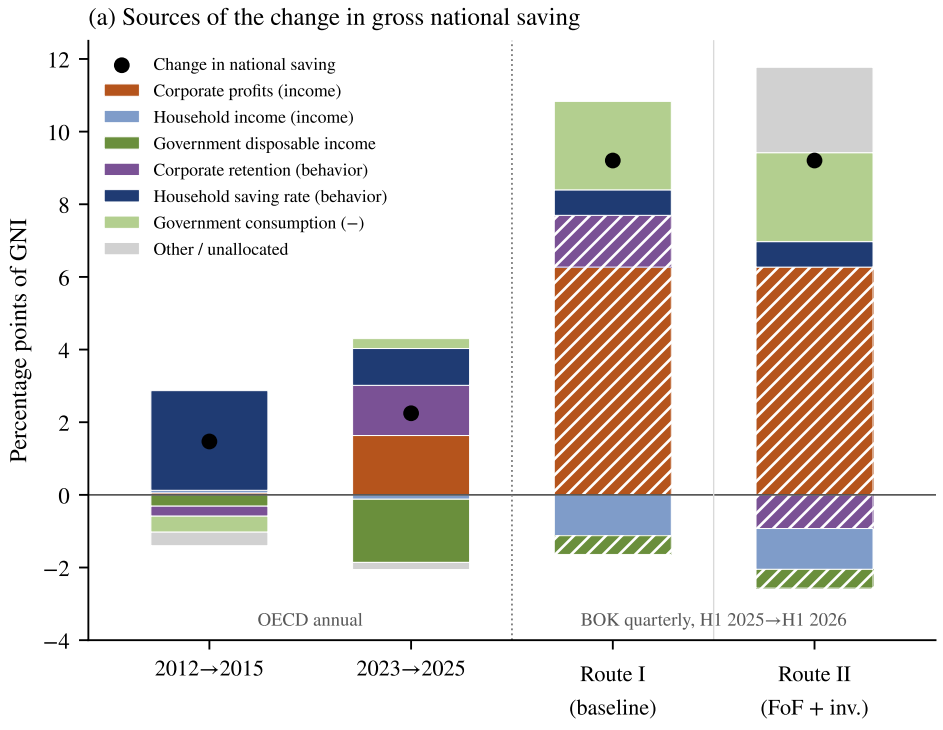
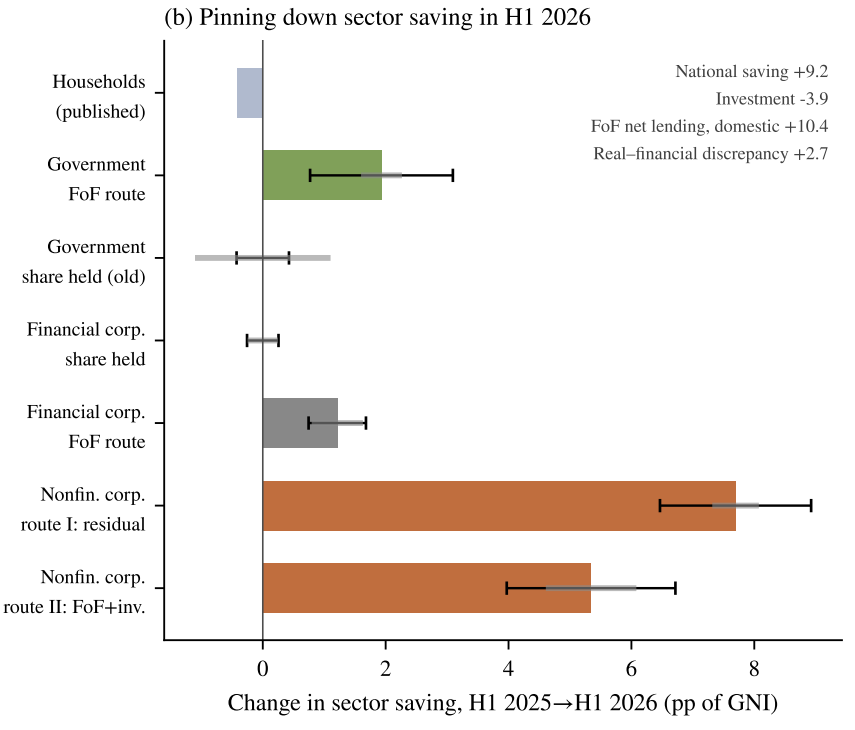
Korea's saving surge: households then, corporate profits now





Notes: Gross saving, percent of GNI. (a) Corporate saving splits into a profit component (change in operating surplus at the earlier retention ratio) and a retention component; household saving into a saving-rate and an income component; government saving into disposable income and minus final consumption. H1 2026: national saving, investment, household income and saving, government consumption and investment, and sector net lending (flow of funds) are published; hatched components rest on assumptions: government saving = its flow-of-funds net lending + its investment + the gap between the two accounts held at its H1 2025 share of GNI; financial-corporation saving held at its H1 2025 share; nonfinancial-corporate saving is the residual (route I); its operating surplus is total operating surplus less other sectors' at their 2025 growth (implied growth 58%). (b) Route II follows the capital-account approach: corporate flow-of-funds net lending + corporate investment (private investment split at 2025 shares) + the gap held at its H1 2025 share; in (a) the part of national saving it leaves unexplained is 'unallocated'. Black whiskers: root-mean-square error when the same procedure is applied to the 2024→2025 half-years, for which sector saving is published; grey: the same for annual changes, 2010–2025.